



INDEPENDENCE DAY 15th AUGUST 2016

CMD's MESSAGE

VANDE MATARAM!

- 1.0 Good Morning, My fellow employees of Hindustan Copper, their Family Members, Senior Colleagues, Dear Children, Ladies and Gentlemen present on the occasion. On the auspicious occasion of the 70th Independence Day, I convey my Hearty Greetings to all of you.
- 2.0 Today, we pay our respectful homage to the martyrs of the Freedom Struggle. I would like to remember today all the great men and women of our Freedom Movement. They inspire and illuminate our march in the new century. This nation inheriting a five thousand year old civilization is today scripting an illustrious chapter in its history and has been admired by many in the world. We need to be proud of that legacy. No less a person than Albert Einstein has said of India: "We owe a lot to the Indians, who taught us how to count, without which no worthwhile scientific discovery could have been made." Today, it is the largest democracy and is poised for keeping its tryst with destiny.
- 3.0 In this journey of nation building a crucial role has been assigned to the Public Sectors Coming to our Company, Dear fellows of the Copper family, here is a task cut out for all of us to fulfill the vision of the Company. HCL has been entrusted with the responsibility to provide raw material security for the nation. To this effect, the Company has made a road map to quadruple its Copper ore capacity in next five years. However, to fulfill the plan, the Copper collective has to show



“Commitment, Grit and Conviction”. Only this can drive us to achieve the desired aspirations. In the current fiscal, the mine expansion projects will gather pace as we expect to obtain all the necessary Environment clearances. In the last month, expert appraisal committee of Ministry of Environment, Forest & CC, Govt. of India has recommended the proposal for environment clearances. To give boost to exploration activity, HCL is soon going to form a Joint Venture Company with CMDC for exploration of Copper ore in the State of Chhattisgarh.

- 4.0 We have embarked our journey on growth path, during the year 2015-16, it is heartening to note that Copper ore production of the Company was highest in last 17 years. In this regard, contribution of Khteri Copper Complex is noteworthy and I am sure that the momentum created will be continued in coming years.
- 5.0 We have completed the first phase of refurbishment of Gujarat Copper Project and I am Happy to announce that commercial production will commence from this month onwards. Friends! Operations of GCP will help us to isolate us from fluctuation of LME prices. GCP which has the “State of the Art” facility will also facilitate processing of e-scrap. I am sure that the team at GCP will give more focus to achieve quick stabilization of the plant and ramp up production to the capacity level.
- 6.0 The year ahead is expected to throw quite a few challenges and opportunities before us. During the year 2016, LME prices of Copper are expected to remain subdued with high degree of volatility. Going forward, to effectively address the challenges, the Company has to demonstrate more agility in current and long term business strategy. While embracing for the challenges we need to create opportunities to enhance the shareholder’s value.

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- 7.0 In the coming years, the Company will endeavor to continuously explore opportunities for growth by creating **New Verticals**. Value addition though enhanced by-product recovery will be one of our thrust areas. I am happy to inform that at ICC Ghatsila plant we have commissioned a commercial plant to produce primary **Nickel** metal from the spent electrolyte generated from the refining process. We take pride in the fact that HCL is the first Company in the Country to produce primary Nickel. We are also focusing to monetize the waste generated during our process of manufacturing by adopting significant new technology advancements. During this year, we have commissioned a pilot plant to demonstrate the technology to extract minerals & materials from the Copper ore tails at Khetri Copper Complex. The results of the pilot plant are encouraging and we are working to establish a commercial plant of suitable size.
- 8.0 While primary focus will be to enhance the production and increase the capacity utilization of our assets, we will also have to lay greater stress to increase the productivity of men and machinery to offset the rising cost of production. Market condition warrant to enhance focus on customer relationship, and we should shift from "Make to sell" to "Make to Order" system.
- 9.0 The efforts of HCL to remain profitable on the face of adverse financial market scenario and its initiatives of the Management to maintain the long term viability and sustainability of the Company has been recognized Internationally. HCL was named Best Metal Company at the 2016 Platts Global Metals Awards, held in London on May 19. The Company continues to improve communication with the external environment as well as with the employees in various measures. Corporate image building exercises gained momentum through an extensive news and media coverage. Our In-House journal "Tamralipi" has received several awards and recognition at prestigious events.

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- 10.0 I exhort to all the employees to cultivate cost culture and austerity in all areas since margins are dropping steeply. The situation calls for a pro-active and progressing work culture with high levels of self-discipline and demonstrative leadership. To help tide over the crisis all are welcome to come up with suggestions, innovations for improvement of systems/procedure/process.
- 11.0 In regards to unionized category of employees, we have arrived at the wage settlement. I am happy to inform this august gathering that we have initiated action towards formulating a new pension and contributory medical schemes for our superannuated employees.
- 12.0 I appeal to all sections of our organization to put their minds and hearts together and take Hindustan Copper to a high pedestal of growth as we step in 50th anniversary of our operation. Let us proudly participate in fulfilling that destiny.
- 13.0 Once again, I wish you all a very **Happy Independence Day**.

Jai Hind, Jai Hind, Jai Hind

K. D. Diwan
Chairman-Cum-Managing Director